

CUSTOMER RETENTION & CHURN ANALYSIS REPORT

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Internship: Future Interns – Data Science & Analytics Task 2 (2026)

Project: Customer Retention & Churn Analysis using Microsoft Excel

Executive Summary

This report presents an end-to-end customer retention and churn analysis using the Telco Customer Churn dataset. Microsoft Excel was used to clean the data, create PivotTables and PivotCharts, build an interactive dashboard, and generate business insights. The objective was to identify customer segments most likely to churn and recommend strategies to improve retention and long-term business growth.

Business Objectives

- Measure overall customer churn and retention.
- Identify customer segments with the highest churn risk.
- Analyze the impact of contract type, payment method, internet service, and demographics.
- Deliver actionable recommendations to reduce customer loss.

Dashboard Summary

Key Performance Indicator	Result
Total Customers	7,043
Churn Rate	26.54%
Retention Rate	73.46%

Key Findings

- Approximately 26.54% of customers churned while 73.46% were retained.
- Month-to-month contracts recorded the highest churn.
- Fiber optic customers experienced higher churn than DSL customers.
- Electronic check users showed the highest likelihood of leaving.
- Senior citizens churned at a higher rate than non-senior customers.
- Gender had minimal influence on customer churn.

Business Recommendations

- Promote long-term contracts through discounts and loyalty programmes.
- Improve customer onboarding and early engagement.
- Review fiber optic pricing and service quality.
- Encourage automatic payment methods with customer incentives.

- Launch targeted retention campaigns for high-risk customers.
- Continuously monitor customer feedback and satisfaction.

Conclusion

This project demonstrates practical data analytics skills by transforming customer data into meaningful business insights. The dashboard and recommendations support informed decision-making and provide strategies to improve customer retention, reduce churn, and strengthen long-term profitability.

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